Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

BMV:BIMBO A (MI KEY: 4276592; SPCIQ KEY: 877906; TCUID: 53231)

Public

Year: Methodology Year: 2023
Question: Supplier Code of Conduct
Include Modeled Scores : Yes

Supplier Code of Conduct

Question

Does the company have a supplier code of conduct and is it available publicly?

Rationale

Companies not only outsource production, services, and business processes but responsibilities, risks, and opportunities as well. On one hand, outsourcing generally tends to increase a company's flexibility, but on the other hand, supply chain risks might become less apparent, new dependencies may arise, and the identification, monitoring, and management of risks and opportunities in the supply chain may become more difficult.

A general supplier code of conduct summarizes and represents the basic commitments a company requires from its suppliers. It also serves as a first information source for prospective suppliers. With this question, we assess if your company has a supplier code of conduct if it is public, and what issues it covers.

Performance Summary	
Question Level Company Performance	93
Question Weight	10
Year-on-Year Change	(7)
Industry Average Score	31
Industry Highest Score	100

The question layout and the company's verified information is provided below. No information is shown if the company did not provide any information or if it opted out of sharing non-public information.

Additional Question Guidance & Information Display

Key Definitions

Supplier code of conduct: It describes the principles, values, standards, or rules of behavior that guide the decisions, procedures, and systems of the supplier in a way that (a) contributes to the welfare of its key stakeholders, and (b) respects the rights of all constituents affected by its operations. It usually includes at least the 03 components: Human Rights & Labour, Environment, and Business Ethics

Human Rights & Labour: This includes safeguards against child labor, non-discrimination, health and safety, working conditions, working hours, compensation, right to association, and freely chosen employment.

Forced labor: all work and service that is exacted from any person under the menace of any penalty and for which the said person has not offered herself or himself voluntarily. Forced labor also includes human trafficking, which is the recruitment, transportation, transfer, harboring, or receipt of persons by the use of threat or of force or other forms of coercion, abduction, fraud, deception, abuse of power, or a position of vulnerability or of the giving or receiving of payments or benefits to achieve the consent of a person having control over another person, conducted for the purpose of sexual exploitation, forced labor or services, slavery or practices similar to slavery, servitude or the removal of organs.

Child labor: is work performed by children that is mentally, physically, socially, or morally dangerous and harmful to children, affecting their health and personal development, or that interferes with their compulsory schooling.

Working conditions: cover a broad range of topics and issues, from working time (hours of work, rest periods, and work schedules) to remuneration, as well as the physical conditions and mental demands that exist in the workplace

Occupational health and safety: a set of interrelated or interacting elements to establish an occupational health and safety policy and objectives, and to achieve those objectives

Harassment: Harassment is defined as a course of comments or actions that are unwelcome, or should reasonably be known to be unwelcome, to the person towards whom they are addressed. Non-sexual harassment includes but is not exclusive to mobbing and bullying, while sexual harassment includes a sexual component.

Discrimination: act and result of treating persons unequally by imposing unequal burdens or denying benefits instead of treating each person fairly on the basis of individual merit based on their race, ethnicity, gender, sexual orientation, age, nationality, religion, union status, and/or marital status

Freedom of association: the right of employees and workers to form, join and run their own organizations without prior authorization or interference by the state or any other entity

Collective bargaining: all negotiations which take place between one or more employers or employers' organizations, on the one hand, and one or more workers' organizations (trade unions), on the other, for determining working conditions and terms of employment or for regulating relations between employers and workers

Environment: This includes avoiding pollution, minimizing emissions, and improving the resource efficiency of supplier operations and products throughout the lifecycle

Greenhouse gas emissions and energy consumption refer to emissions of the six main GHGs that are covered by the Kyoto Protocol, including carbon dioxide (CO_2), methane (CH_4), nitrous oxide (N_2O), hydrofluorocarbons (HFCs), perfluorocarbons (PFCs), and sulfur hexafluoride (SF_6). Energy consumption refers to the purchase or production and use of energy from renewable sources (e.g., hydroelectric, wind, solar, geothermal, bioenergy) and to the efficient use of energy by reducing the waste/loss of energy or upgrading equipment with lower energy consumption.

Pollution prevention and waste management refer to the prevention and management/disposal of by-products in business operations such as air pollutants (e.g., particulate matter, lead, sulfur dioxide, etc.), sewage, and solid waste (including non-hazardous and hazardous waste).

Resource efficiency refers to organizational or technological modification in designing product/process that allows more efficient usage of raw materials or water.

Biodiversity, no deforestation, or land conservation refers to the protection or promotion of natural habitats, biodiversity, or management of soil to avoid loss of nutrients, erosion, and land pollution. Some aspects might include, for example, A) management of biodiversity risks by setting targets to offset any losses (no net loss) or aims to achieve a net positive impact on biodiversity; B) prohibition of supplier operations in sites containing globally or nationally important biodiversity; C) application of mitigation hierarchy (avoid, minimize, restore & offset) if a company is operating in areas in close proximity to critical biodiversity; D) land conservation efforts which include a variety of techniques such as contour farming, mulching, crop rotation, etc.

Business Ethics: refers to the policies and practices to ensure the ethical conduct of the organization and associated individuals in all business activities, including, but not limited to, anti-corruption, anti-competitiveness, and conflict of interest.

Anti-Corruption: refers to 'abuse of entrusted power for private gain', which can be instigated by individuals or organizations, including practices such as bribery, facilitation payments, fraud, extortion, collusion, and money laundering; an offer or receipt of any gift, loan, fee, reward, or another advantage to or from any person as an inducement to do something that is dishonest, illegal, or a breach of trust in the conduct of the enterprise's business.

Anti-Competitiveness: refers to actions of the organization or employees that can result in collusion with potential competitors, with the purpose of limiting the effects of market competition, including but not limited to cartel activities, price fixing, and anti-trust activities.

Conflict of Interest: refers to a situation where an individual is confronted with choosing between the requirements of his or her function and his or her own private interests

Data Requirements

Supporting evidence

- **This question requires public documents.**
- For options covering multiple topics, your Supplier Code of Conduct must address **all** elements stated in the option. The only exception is Biodiversity, deforestation, or land conservation

Not Applicable – General Rule

"Not Applicable" for this question (beyond the industries detailed below) will only be accepted for special cases. In such cases, the company must credibly explain via a comprehensive company comment and/or public reporting that it does not purchase goods or services for the purposes below. To be granted "Not Applicable", the company must state they:

- Do not use goods or services in the company's production processes, and
- Do not re-sell goods or services to the company's customers, and
- Do not utilize goods or services as capital goods (e.g. machines/infrastructure) in the company's operations.

Industry-specific special cases:

REI – Equity Real Estate Investment Trust (REITs): companies that have only marked 'Management of Standing Investments' as the main activity of the business in question '0.1 Denominator Area' should mark "Not Applicable" in this question.

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REM – Real Estate Management & Development: companies that have only marked 'Services' as the main activity of the business in question '0.1 Denominator Area', should mark "Not Applicable" in this question.

OIE - Energy Equipment & Services Industry: Services Companies (consultancy or seismic surveying), should mark "Not Applicable" in this question.

References

For the definition of the supplier code of conduct see UNGC's Supply Chain Sustainability

Standards & Frameworks

CDP Climate - C12.1

GRI Disclosure - 403-1

SFDR Principal Adverse Impacts - Social and employee matters

UNGP - A1.3, A2, A2.4

Data View

QUESTION LEVEL INPUT	COMPANY ANSWER
Company's publicly available supplier code of conduct	Applicable
Supplier code of conduct covers child labor	YES
Supplier code of conduct covers working conditions (e.g. working hours, lay-off practices)	YES
Supplier code of conduct covers occupational health and safety	YES
Supplier code of conduct covers forced labor	YES
Supplier code of conduct covers discrimination and harrassment	YES
Supplier code of conduct covers freedom of associations and collective bargaining	YES
Supplier code of conduct covers greenhouse gas emissions and energy consumption	YES
Supplier code of conduct covers pollution prevention and waste management	YES
Supplier code of conduct covers resource efficiency	YES
Supplier code of conduct covers biodiversity, no deforestation, or land conservation	YES
Supplier code of conduct covers anti-corruption and conflict of interest	YES
Supplier code of conduct covers anti-competitiveness	-

Questionnaire

Does your company have a Supplier Code of Conduct and is it publicly available? Please provide a weblink and indicate which of the listed issues are covered in the Code and applied to all suppliers across all countries.

1. ◉

   Yes, our company has a Supplier Code of Conduct, and it is publicly available. The Code covers the following issues:

   Human Rights and Labor

   1. ☑ Forced labor
   2. ☑ Child labor
   3. ☑ Working conditions (e.g., working hours, physical/mental demands of the workplace, wages, benefits)
   4. ☑ Occupational health and safety
   5. ☑ Discrimination and harassment
   6. ☑ Freedom of associations and collective bargaining

   Environment

   1. ☑ Greenhouse gas emissions and energy consumption
   2. ☑ Pollution prevention and waste management
   3. ☑ Resource efficiency
   4. ☑ Biodiversity, no deforestation, or land conservation

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Business Ethics

1. ☑ Anti-corruption and conflict of interest
2. ☐ Anti-competitiveness

2. ○ No, our company does not have a Supplier Code of Conduct OR this Code is not publicly available

3. ○ Not applicable. Please provide explanations in the comment box below.

Confidential additional comments

Use the text field below only in the following cases: (i) to describe significant changes in data or calculation methodology compared to last year's submission, (ii) to explain why a question is not applicable to your company's business model, (iii) to explain if your data deviates from the unit or format requested, or (iv) to provide supporting notes on translations of non-English references.